

Funding Circle is a UK-based SME lending platform that provides term loans and flexible credit facilities to small and medium-sized enterprises. The business generates revenue through three streams: transaction fees charged at loan origination, servicing fees earned over the life of the loan, and interest income on loans retained on its own balance sheet.

Funding Circle has demonstrated strong growth momentum, with revenue increasing 57% over two years from £130.1m in 2023 to £204.3m in 2025. Term loan originations grew from £1,060m to £1,638m over the same period, while the newer FlexiPay product scaled rapidly from £234m to £815m in transactions, contributing to a turnaround from a loss of £9.9m in 2023 to a profit before tax of £20.3m in 2025.

Funding Circle's borrowers are established UK SMEs seeking fast, flexible financing for growth, working capital, stock, equipment, and cash flow management. The platform serves retailers, manufacturers, and service businesses that require efficient access to capital without the documentation burden of traditional bank lending. This positioning is increasingly advantageous, as challenger lenders now account for 60% of gross SME bank lending in the UK, up from 39% in 2012, reflecting a structural shift away from high street banks toward alternative providers. Funding Circle's own performance validates this trend, with rapid FlexiPay adoption and over £2 billion in committed institutional forward flows indicating strong demand on both the borrower and investor side.

Funding Circle has delivered a significant financial turnaround between 2023 and 2025, with revenue growing 57% to £204.3m and profit margins recovering from -7.6% to 9.9%. However, three areas warrant careful monitoring: expected credit losses have risen sharply from 5.4% to 9.0% of revenue, suggesting borrower stress is growing faster than the business; the cost-to-income ratio of 81.1% remains well above the industry target of 60%, indicating the business is still not operating efficiently at scale; and FlexiPay, which now represents 33% of credit extended, is a relatively new product whose credit performance has not yet been tested through a full economic downturn.

For every £1 of revenue earned in 2025, Funding Circle spends £0.81, a meaningful improvement from £0.94 in 2024, but still significantly above the industry benchmark of £0.60. While the trajectory is positive, the business remains operationally inefficient relative to mature lenders, and continued revenue scaling will be critical to close this gap.

Funding Circle's expected credit losses grew from £8.6m in 2024 to £18.3m in 2025, representing an increase from 5.4% to 9.0% of revenue. For every £1 of revenue earned, the business is now setting aside £0.09 to cover expected borrower defaults, up from £0.05 in 2024. If this trend continues without a corresponding acceleration in revenue growth, rising credit losses risk eroding the profitability gains achieved through the 2023-2025 turnaround. For a credit analyst, this is the single most important metric to monitor.

Despite absolute credit losses rising, Funding Circle's NPL ratio actually improved from 8.0% to 6.6% because the total loan book grew significantly from £118.2m to £307.7m in 2025. This suggests new lending is being directed toward higher quality borrowers, with repayment performance improving even as the book scales rapidly. This is an encouraging signal for credit quality despite the rise in absolute loss provisions.

Risk 1- Credit Risk

Credit Risk: Funding Circle's expected credit losses have more than doubled from £8.6m to £18.3m in a single year, rising from 5.4% to 9.0% of revenue. This trajectory suggests borrower stress is increasing faster than revenue growth, which risks eroding the profitability gains achieved during the 2023-2025 turnaround. Additionally, FlexiPay, which now represents 33% of credit extended and has grown from £234m to £815m in transactions, is a relatively new product whose credit performance has not been tested through a full economic downturn. A deterioration in FlexiPay repayment rates could amplify credit losses significantly given the product's rapid scale.

Risk 2- Funding Risk

Funding Risk: Funding Circle operates a capital-light marketplace model, with 93% of its lending funded by institutional investors including banks, asset managers, and funds. This creates significant concentration risk, if institutional appetite weakens due to macroeconomic uncertainty or a shift in investor sentiment, loan origination volumes could collapse rapidly as the business has limited ability to fund loans from its own balance sheet. This risk is already visible in the data, despite reporting a profit of £20.3m in 2025, cash reserves fell from £187.6m to £152.4m, a reduction of £35.2m in a single year, suggesting increasing cash consumption as the business scales.

Risk 3 - Operational Efficiency Risk

Operational Efficiency Risk: Despite meaningful improvement, Funding Circle's cost-to-income ratio remains at 81.1% in 2025, significantly above the industry benchmark of 60%. For every £1 of revenue generated, the business incurs £0.81 in operating costs, driven largely by rising marketing expenditure which increased from £45.6m to £62.0m in a single year. If revenue growth decelerates while costs continue rising, particularly as the business invests in scaling FlexiPay and expanding its customer base, operating expenses risk outpacing income, reversing the profitability gains achieved in the turnaround. Sustained improvement in this ratio is critical for long-term financial stability.

Risk 4 - competitive risk

The UK SME lending market is becoming increasingly crowded, with challenger and specialist lenders now accounting for 60% of gross SME bank lending in 2025, up sharply from 39% in 2012. Simultaneously, high street banks are re-entering the SME lending space with improved digital offerings, competing directly for the established, lower-risk borrowers that form Funding Circle's core customer base. As more lenders compete for the same pool of creditworthy SMEs, pricing pressure is likely to intensify, compressing transaction fees, servicing margins, and interest income. For a business still working to bring its cost-to-income ratio below 60%, margin compression represents a material threat to its path to sustainable profitability.

Based on the financial analysis, I would recommend a Cautious Hold on Funding Circle. The business has demonstrated a compelling turnaround, revenue has grown 57% from £130.1m to £204.3m between 2023 and 2025, and the company has moved from a loss of £9.9m to a profit of £20.3m, demonstrating genuine commercial viability. The rapid scaling of FlexiPay and Cashback card products also signals product diversification that could drive future revenue streams.

However, before committing to a full credit facility, three conditions would need to be satisfied. First, stabilisation or reduction in the ECL to revenue ratio, currently rising from 5.4% to 9.0%, demonstrating that credit losses are being managed as the book scales. Second, continued improvement in the cost-to-income ratio toward the 60% industry benchmark, evidencing operational efficiency at scale. Third, at least two full years of FlexiPay credit performance data to assess default rates on this product through a range of economic conditions.

Subject to improvement across these metrics, Funding Circle represents a high-growth alternative lender operating in a structurally favourable market, with a clear path to sustainable profitability.